

The Reporting Paradox

Why Trinidad and Tobago's Organisations Are Exposing Themselves Every Time They Punish a Breach

Third paper in the Governance-Psychology Gap series

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About the Author

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Executive Summary

There is a paradox sitting at the centre of how most organisations in Trinidad and Tobago handle data breaches. They invest in governance infrastructure precisely because they fear incidents. And then, when an incident occurs, they respond in the way most likely to ensure the next one goes unreported.

The pattern is consistent and well-documented globally. An employee makes a mistake that contributes to a breach, the organisation responds with termination, formal discipline, or public blame. The surviving employees that observe this, draw a rational conclusion that reporting a mistake cost more than concealing it. And so, the next near-miss, the next protocol violation, the next suspicious email that slipped through, stays quiet. The organisation's early-warning system, the one asset no IT system can replace, is switched off by its own response to the previous incident.

This is the **Reporting Paradox**. It is not a technology failure. It is a behavioural consequence of a governance culture that treats human error as a disciplinary event rather than an intelligence asset.

This paper argues that incident response is the most concentrated expression of the *Governance-Psychology Gap*, that is, the space between an organisation's formal governance framework and the human culture that determines whether it functions. A robust incident response policy is worth nothing if the psychological climate ensures incidents are never reported in the first place. Closing the Reporting Paradox requires two things working simultaneously. These are, a governance structure that is clear about what to report and when, and a human environment in which reporting is experienced as safe, expected, and consequential in the right direction.

Key Findings at a Glance

- ▶ **88% of data breaches begin with human action.** A joint Stanford and Tessian study found that 88% of incidents involve employee mistakes, not software failures (Hancock & Tessian, 2022). IBM Security has placed the figure as high as 95%.
- ▶ **The average breach goes undetected for 194 days.** IBM's 2024 Cost of a Data Breach Report found organisations take an average of 194 days to identify a breach and a further 64 days to contain it, a combined lifecycle of 258 days (IBM Security, 2024).
- ▶ **One in four employees who caused a breach lost their job.** Tessian's 2022 Psychology of Human Error study found that 25% of employees who made a cybersecurity mistake were dismissed, a consequence employees observe and remember (Tessian, 2022).
- ▶ **Fewer employees are now reporting their mistakes.** As consequences have risen, voluntary self-reporting has declined. The early-warning system is eroding precisely as the risk environment worsens.

- ▶ **Internal detection saves nearly USD 1 million per breach.** Organisations that detected their own breach saved an average of USD 1 million in breach costs compared to those whose breach was disclosed by an attacker (IBM Security, 2024).
- ▶ **The fix is a governance and psychology intervention simultaneously.** Psychological safety is not a wellness initiative. In the context of incident response, it is a governance control, one that determines whether the reporting architecture functions at all.

1. The Anatomy of a Breach: What Actually Goes Wrong

Before examining why incidents go unreported, it is worth being precise about where they originate. The dominant narrative frames data breaches as technical failures, ransomware, hacking, system vulnerabilities. This framing has a cost which directs investment toward IT infrastructure and away from the human systems where actual risk is concentrated.

The data is consistent and long-standing. A joint study by Stanford University Professor Jeff Hancock and security firm Tessian found that 88% of data breach incidents are caused by employee mistakes, including misdirected emails, falling for phishing attacks, weak access credential management, and improper handling of sensitive records (Hancock & Tessian, 2022). IBM Security research places the figure even higher, at 95% of incidents involving some form of human error or human decision (IBM Security, cited in Red Education, 2024). These are not occasional outliers. They are the dominant pattern.

What this means in practice is that an organisation's primary breach vector is not its firewall. It is its people, not because those people are careless or untrustworthy, but because they are human, operating under cognitive load, distraction, and time pressure. Tessian found that 45% of employees cited distraction as the top reason for falling for a phishing scam, and that 57% of remote workers reported being more distracted when working from home (Tessian, 2022). These are not character failures. They are predictable features of how the human brain functions under ordinary working conditions.

The Anatomy of a Typical Incident

Step 1: A human decision point. An employee acts under pressure, distraction, or incomplete information- opens a suspicious link, sends a document to the wrong recipient, shares access credentials over an unsecured channel.

Step 2: A recognition moment. The employee realises, or suspects, something has gone wrong. This is the critical juncture. What happens next is determined almost entirely by the

psychological climate of the organisation, not by the governance policy document sitting in the HR manual.

Step 3a (high psychological safety): The employee reports immediately. The organisation activates its incident response protocol. The breach is contained early, limiting damage and legal exposure.

Step 3b (low psychological safety): The employee says nothing. The breach continues undetected. The 194-day clock runs. By the time external parties identify and disclose the incident, the damage is exponentially greater, legally, reputationally, and financially.

The entire distance between Step 3a and Step 3b is psychological. It is determined by whether the employee believes, based on experience of how this organisation has treated previous incidents, that coming forward is safer than staying silent.

2. The Reporting Paradox: How Organisations Switch Off Their Own Early Warning System

The Reporting Paradox operates as follows. An organisation experiences an incident. Under pressure from leadership, legal counsel, and board members, the response is punitive, the employee responsible is terminated or formally disciplined. This response is publicly framed as accountability. It is, in practice, a training event for every other employee in the organisation.

Tessian's 2022 Psychology of Human Error study found that one in four employees who made a cybersecurity mistake lost their job within approximately one year. Crucially, the same study found that more than half of employees fell for phishing emails because the attacker impersonated a senior executive, meaning many of those dismissed were responding to a sophisticated, deliberate deception, not negligence (Tessian, 2022). The surviving workforce observed both the attack and the consequence. The conclusion they draw is rational; if making a mistake in this organisation costs you your job, the sensible response to the next mistake is not to report it.

Research from Amy Edmondson's foundational work on psychological safety shows this dynamic clearly. Edmondson defines psychological safety as the shared belief that one can speak up, raise concerns, admit errors, or ask questions without the risk of disproportionate negative consequences (Edmondson, 1999). In environments where psychological safety is low, reporting declines sharply. The organisation loses its most valuable early-warning signal, that is, the employee who notices something is wrong and says so before it becomes a crisis (Edmondson, 2019).



The perverse arithmetic of the Reporting Paradox is this- the organisations most aggressive in punishing breached employees are the ones most likely to experience the next breach going undetected for the longest time. Punishment does not reduce human error. It drives the evidence of human error underground, where it compounds.

The silence tax

The financial cost of delayed detection is not theoretical. IBM Security's 2024 Cost of a Data Breach Report found that the average global breach cost USD 4.88 million in 2024, a 10% increase from the previous year and the highest recorded since IBM began tracking this data (IBM Security, 2024). More precisely, breaches that took over 200 days to contain cost organisations an average of USD 5.46 million, compared to USD 3.61 million for those contained within 200 days. That differential, USD 1.85 million, is roughly the cost of silence. The organisation that quietly dismisses a breached employee and watches reporting rates fall is not managing its risk. It is deferring it at interest.

IBM Security also found that organisations whose own security teams detected the breach, rather than learning about it from an attacker or third party, saved an average of nearly USD 1 million in breach costs (IBM Security, 2024). Internal detection, the first indicator of a reporting culture, is not merely operationally useful. It is financially material.

The Governance-Psychology Gap in Incident Response

Every organisation with an incident response policy believes it has a reporting mechanism. The Governance-Psychology Gap asks a different question- given what employees know about how this organisation has responded to past incidents, do they actually believe it is safe to use it? If the answer is no, the policy is decorative. The reporting pathway exists on paper. It does not exist in practice.

3. The Trinidad and Tobago Context: A Particular Exposure

Trinidad and Tobago's corporate and public sector landscape carries specific features that amplify the Reporting Paradox.

The small-society dynamic

In a small, interconnected professional community, the reputational cost of being identified as the person whose mistake caused an incident is disproportionately high. Professional networks overlap with social networks. A dismissal or formal reprimand for a data breach is not an HR event contained within an organisation, it circulates. Employees in Trinidad and Tobago's public and private sectors are acutely aware of this, and it heightens the psychological calculation against reporting.

The same dynamic that makes relationship-based management feel natural in a small society, the one the first paper in this series identified as “vibes-based people management,” makes the consequences of visible error feel existential rather than correctable. Organisations that have not deliberately built a Just Culture, one that distinguishes between human error and reckless negligence, will find this dynamic consistently suppresses reporting.

The legal landscape and the absence of mandatory breach reporting

Trinidad and Tobago's Data Protection Act of 2011 has historically not required organisations to report breaches to a regulator within a specific timeframe, a structural absence identified in the first paper of this series as a dangerous false comfort. As the Act moves toward full enforcement, organisations that have tolerated low internal reporting rates will face a compounding problem. They will be legally obligated to report breaches to regulators, but they will have no internal culture of reporting to draw on. The first-time employees are expected to flag incidents externally, they will be doing so in an organisation where internal reporting has always been suppressed. That gap cannot be closed by an amended policy document.

The anonymisation dimension

For organisations handling sensitive personal data, including legal records, HR files, health information, and financial data, the stakes of unreported incidents are compounded by the nature of the information at risk. From the perspective of an anonymisation and information governance specialist, an unreported incident involving sensitive data is categorically different from a generic IT failure. It may involve the exposure of personal identifiers that cannot be revoked, the compromise of records that affect real people's safety, privacy, and legal rights.

The argument for building a reporting culture in these environments is not abstract. It is the difference between an organisation that knows what data has been exposed and can act to limit harm, and an organisation that discovers the breach when the data appears somewhere it should not.

4. The Just Culture Framework: Accountability Without the Paradox

The solution to the Reporting Paradox is not the elimination of accountability. It is its recalibration. The concept of *Just Culture*, developed extensively in aviation safety and healthcare and validated across multiple high-stakes sectors, offers a framework that preserves accountability while preserving the reporting climate that organisations depend on.

A Just Culture distinguishes, deliberately and explicitly, between three categories of human behaviour in incident contexts:

- **Human error:** an unintentional mistake made in good faith, under ordinary working conditions. This is the category that accounts for the overwhelming majority of data incidents. The appropriate response is learning and system improvement, not harsh discipline.
- **At-risk behaviour:** a choice that increases risk, often without the employee recognising it as such, typically because the safer protocol is unclear, inconvenient, or not reinforced. The appropriate response is coaching and clarification.
- **Reckless or wilful violation:** a deliberate, knowing disregard for a clear protocol, with awareness of the risk involved. This is the only category where formal disciplinary action is the appropriate governance response.

The Reporting Paradox exists because most organisations collapse all three categories into one response, discipline. In doing so, they apply the reckless-violation response to the human-error category, which comprises the vast majority of incidents. The result is predictable. Employees who made an honest, unintentional mistake receive the same consequence as those who acted with wilful disregard. The message received is that mistakes, regardless of intent, are punishable. Reporting stops.

Just Culture in Practice

The aviation industry adopted Just Culture principles after decades of evidence that blame-based incident response produced under-reporting, which in turn prevented the systemic improvements needed to prevent recurrence. The same logic applies to information governance. The near-miss that is never reported is the incident protocol that is never improved.

Healthcare research confirms this consistently. A concept analysis of psychological safety in clinical settings found that providing an open and blame-free culture around incident reporting is recommended by the World Health Organization as foundational to safety

management (Timmins et al., 2021). The principle is transferable directly to data-sensitive organisational environments.

IBM Security's 2024 data provides the financial validation- organisations with incident response teams and robust security testing saved an average of USD 248,000 per year, while those where internal detection rates increased saw breach costs fall and lifecycles shorten. A Just Culture is not a philosophical preference. It is a measurable financial strategy.

Psychological safety as a governance control

Edmondson's research, and the evidence base built on it across healthcare, aviation, technology, and financial services, consistently finds that psychological safety is the precondition for the behaviours that governance systems depend on; reporting errors, flagging near-misses, raising concerns about colleagues' protocol violations, and escalating potential incidents before they become confirmed breaches (Edmondson, 2019).

In the context of the Governance-Psychology Gap, psychological safety is not a wellness metric or a culture-team initiative. It is a governance control, as materially important to an organisation's data protection posture as its access authorisation structure or its anonymisation protocols. An organisation with a robust incident response policy and low psychological safety does not have a functioning incident response system. It has a document.

5. The Incident Response Architecture: What Functioning Looks Like

A governance infrastructure for incident response that actually functions requires both structural and human investment. The following describes the components of what might be called the *Incident Response Architecture*- the complete system that takes an organisation from breach occurrence to internal containment to regulatory compliance, without the Reporting Paradox silencing the process at the first step.

Structural layer: what must be in place

1. **A clear, classified incident typology.** Employees cannot report what they cannot recognise. A functioning incident response structure begins with a plain-language classification system; what constitutes a reportable incident, who it is reported to, and what the first-response steps are. This must be specific enough to be actionable and simple enough to be remembered without a manual.
2. **A tiered reporting pathway.** Internal reporting should not require an employee to go immediately to the most senior person in the organisation. Tiered pathways, immediate line manager for minor incidents, designated information governance lead for data-related

concerns, and a senior escalation channel for confirmed breaches, reduce the psychological friction of reporting by making the ask proportionate to the perceived severity.

3. **A breach register and near-miss log.** Incidents that are documented, even where they do not meet the threshold for regulatory notification, are the raw material of organisational learning. Trinidad and Tobago organisations that build and maintain these records now are building the compliance evidence base that full DPA enforcement will eventually require.
4. **Regular structured testing of the pathway.** Incident response pathways that are never tested function only in theory. Tabletop exercises, scenario-based drills, and periodic audits of whether the pathway is actually used, builds the organisational muscle memory that makes rapid response possible under real-world pressure.

Human layer: what must be actively maintained

5. **Leadership behaviour that models the response to error.** Psychological safety is not created by a policy document. It is created by how leaders visibly respond the first time an error is reported. A leader who responds to a reported mistake with curiosity, practical problem-solving, and an explicit separation of the person from the error, sets the standard for the entire organisation. A leader who responds with blame, even privately, teaches the opposite lesson.
6. **A documented Just Culture position.** Organisations that make explicit their approach to distinguishing human error from recklessness, give employees a reference point. This does not need to be a lengthy policy document. It requires clarity on three things; what is a learning event, what is a coaching event, and what is a disciplinary event. Making this visible reduces the uncertainty that suppresses reporting.
7. **Regular reinforcement through genuine near-miss recognition.** Near-misses are the most valuable form of incident intelligence available to an organisation. An employee who catches a potential breach before it becomes one and reports it is performing a governance function of the highest order. Organisations that recognise and reward this behaviour, explicitly, visibly, and repeatedly, shift the psychological calculus toward reporting.
8. **Post-incident communication that demonstrates learning.** When incidents are investigated and acted upon, communicating what changed as a result closes the loop for the person who reported and signals to everyone else that reporting produces improvement, not just scrutiny. This feedback loop is the single most powerful mechanism for sustaining a reporting culture over time.

The Architecture in One Sentence

An organisation's incident response capability is the product of its structural pathway and its psychological climate. Invest in one without the other and you have either a policy

no one uses or a reporting culture with no system to route it through. Both halves are necessary. Neither is sufficient alone.

6. Recommendations for Trinidad and Tobago Organisations

The following recommendations are sequenced from immediate diagnosis to structural and cultural change. They are applicable to organisations of any size and across the private, public, and professional sectors.

Recommendation 1: Audit your actual reporting climate before your policy

Most organisations that discover they have a reporting problem find out too late, when an incident surfaces through an external channel after weeks or months of internal silence. A governance-psychology audit that examines both the structural pathway and the psychological climate around incident reporting gives leadership an accurate picture of where they stand, before the next breach tests the system.

The audit should ask three questions. Does the structural pathway for reporting incidents exist and is it known to staff? Is it simple enough to use under pressure? And, most critically, does the organisation's track record of responses to past incidents make employees believe it is actually safe to use?

Recommendation 2: Adopt and communicate a Just Culture position explicitly

Organisations that want to reduce the Reporting Paradox need to make their position on human error visible. This is not a lengthy policy exercise. It requires a clear, communicated statement, ideally from the most senior leader with governance responsibility, that distinguishes the organisation's response to honest mistakes from its response to wilful violations. Without this clarity, employees default to the most conservative assumption; that all mistakes are punishable.

Recommendation 3: Retrain the response to reported incidents

How a manager responds to the first reported mistake sets the norm for every subsequent one. This is not instinctive for most leaders trained in Caribbean public and private sector cultures, where accountability has historically been expressed through blame and consequence rather than inquiry and learning. Leadership development that specifically addresses the psychology of incident response, how to receive a mistake with curiosity rather than punishment, how to distinguish system failures from individual failures, and how to communicate what changed as a result of an investigation, is a direct governance investment.

Recommendation 4: Build breach-response into your DPA compliance preparation

As Trinidad and Tobago's Data Protection Act moves toward full enforcement, organisations that do not have functioning incident response infrastructure will face regulatory exposure from two directions- the breach itself, and their inability to demonstrate that they had a functioning system for detecting and responding to it. Building that system now, including the human climate that makes it functional, is the most cost-effective form of compliance preparation available.

Recommendation 5: Track near-miss reporting rates as a governance metric

Near-miss reporting rates are one of the most reliable leading indicators of organisational reporting culture. An organisation with high near-miss reporting has a functioning early-warning system. An organisation with low or zero near-miss reporting does not, regardless of what its incident response policy document says. Including near-miss reporting rates in governance dashboards and board reporting gives leadership visibility into the human layer of their data protection posture.

The Bottom Line

The Reporting Paradox is the governance-psychology problem that hides inside every other governance-psychology problem. It does not matter how well-designed an incident response framework is if the people it depends on do not believe it is safe to trigger it. And the primary determinant of whether employees believe it is safe to report is not the policy. It is the memory of what happened the last time someone did.

Organisations in Trinidad and Tobago are heading into a regulatory environment that will require them to demonstrate functioning breach response infrastructure, not just policy documentation. The organisations that will manage this transition without crisis are those that understood, early enough, that the human layer of incident response is not secondary to the structural layer. It is the precondition for the structural layer working at all.

Closing the Reporting Paradox is an act of governance and behavioural science simultaneously. It requires the same dual investment that the Governance-Psychology Gap framework has always argued for; the right structure and the right human environment to make that structure real. One without the other is a document. Both together are a system.

Read the Complete Series

Paper 1: The Governance-Psychology Gap. The foundational framework. Why the most dangerous exposure in T&T's organisations is behavioural, not technical.

Paper 2: The Continuity Architecture. Why succession and retention planning are not only possible under public service rules and mixed employment types, but essential.

Paper 3: The Reporting Paradox (this paper). Why organisations expose themselves every time they punish a breach, and what a functioning incident response architecture actually requires.

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